



Cambridge International Examinations
Cambridge Ordinary Level

Done!

ECONOMICS

Paper 1 Multiple Choice

2281/12

October/November 2015

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved with reasons!

Arak

Arak
Mushtag!

This document consists of **10** printed pages and **2** blank pages.



- 1 In a rural community of Southern Africa, women were responsible for planting and weeding crops by hand, while men used to control production and receive profits.

Labour

Enterprise

Which combination of factors of production was in operation?

	men	women
A	capital	land
☒ B	enterprise	labour
C	labour	capital
D	land	enterprise

- 2 The government of a prosperous country announced that it would offer free food to its citizens for a year.

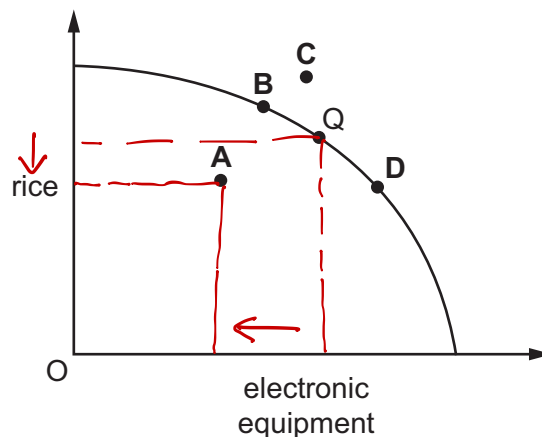
What would be the effect of this measure?

- A Agricultural resources would become unlimited. *(resources are limited)*
- B Human wants would become finite. *(wants are unlimited)*
- ☒ C More resources would be devoted to food production. *(output of food ↑)*
- D The basic economic problem would be solved. *(scarcity always exist)*

- 3 The diagram shows a production possibility curve for an economy that can produce rice or electronic equipment. The economy is at point Q. A recession causes unemployment in the electronics industries.

At which point will the economy be in the diagram?

*↓
Unemployment / point inside the 'PPC'*



30 table
forgone!

$$\left[\begin{array}{l} 6 \text{ hrs} \times 15 \Rightarrow 90 \times \$10 \Rightarrow \$900 \\ \text{output} \\ 4 \text{ hrs} \times 15 \Rightarrow 60 (\text{output}) \times 10 \Rightarrow \$600 \end{array} \right.$$

- 4 A person works at home making table cloths. He works for 6 hours each day and makes 15 table cloths an hour. He sells them for \$10 each.

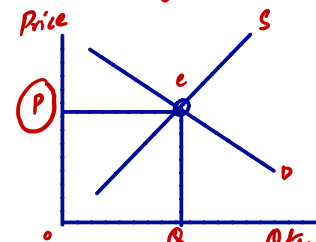
He then decides to work for only 4 hours each day.

What can be concluded from the above information?

- A The lost profit would be \$300. (For profit we require cost, not given)
 B The lost revenue would be \$60. (loss of revenue is \$300) ($TR = P \times Q$)
 ✓ C The daily opportunity cost would be 30 table cloths.
 D The daily opportunity cost would be \$50. (opportunity cost is in terms of output, not in terms of money)

- 5 What is meant by an equilibrium price? ($D=S$)

- A a government price that ensures fairness for all
 ✓ B a price that has no pressure to rise or fall [no shortage or surplus]
 C a price that maximises the profits of the producers
 D a price that maximises the satisfaction of the consumers



*Equilibrium is a position of rest where there is no upward or downward pressure!

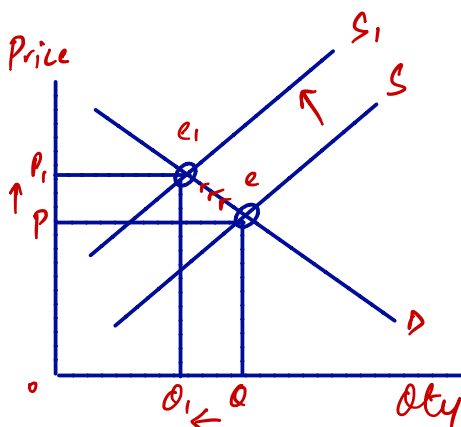
- 6 In August 2013, a lengthy strike in north-east India, where the finest and most expensive Darjeeling tea is grown, shut down the tea industry at harvest time. Supply ↓, shortage, P ↑

What is the likely outcome of such a situation on a demand and supply diagram for Darjeeling tea?

If it switches then demand decreases, Prices ↓

- A The price will rise because demand will switch to other teas.
 B The price will rise because the strike will cause a movement down the supply curve. Shift will occur
 ✓ C The price will rise because the supply curve will move to the left. [Decrease in supply]
 D The price will rise because there will be a fall in demand for the remaining Darjeeling tea.

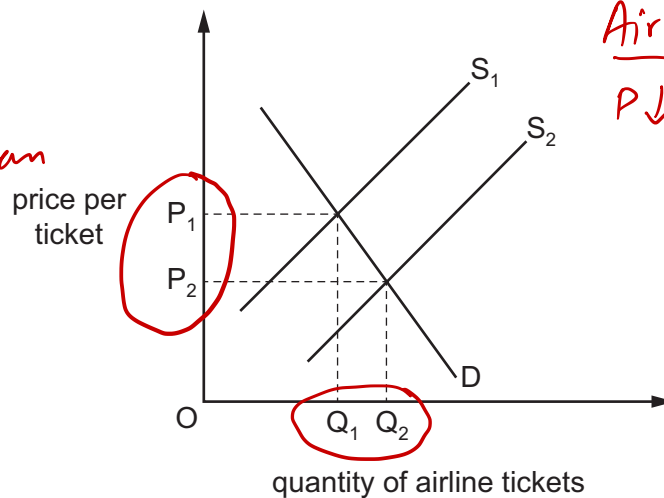
If demand fall, prices will reduce!



- 7 Air travel and rail travel are substitute forms of transport. The diagram shows the effect of new technology on the market for air travel.

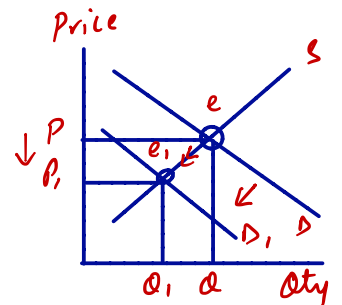
Supply ↑

* Substitutes are alternatives which can be used in place of one another.



Air travel
P ↓ Q ↑

Rail travel
Demand ↓



What would be the most likely effect on the market for rail transport? (on substitute)

- ☒ A a decrease in demand for rail transport
- ☐ B an increase in the price of rail tickets
- ☐ C an increase in supply of rail transport
- ☐ D an increase in the total income of rail companies
- 8 A developer built some large houses in a rural area which poorer people could not afford. The houses destroyed an area of natural beauty. External cost

What type of market failure resulted from the development?

- ☒ A ignoring external cost (lost to the 3rd party for which no appropriate compensation is paid)
- ☐ B inequality of income (not a reason of market failure)
- ☐ C lack of information (no reference of merit and demerit)
- ☐ D price discrimination (charging different prices to different customers for the same product, reasons not associated with cost)
- 9 How do high direct taxes affect spending and how do high interest rates affect saving by wage-earners?

	spending	saving
A	decrease ✓	decrease
☒ B	decrease ✓	increase ✓
C	increase	decrease
D	increase	increase ✓

Direct tax ↑
Disposable income ↓
consumption ↓
spending ↓

(vs) high interest rate
high return on saving
spending ↓
save ↑

- 10 A national trade union wishes to increase the wages of its members without reducing the numbers employed.

Which factor would help the union to do this?

- ☒ A The demand for the industry's product is high.
 B The industry consists of a small number of well-organised employers.
 C The union workers have low-level skills.
 D The workers' wages are the largest cost of the industry.

If demand for the product is high, this requires more workers to respond to increase in demand. An increase in demand of product, causes increase in demand for workers, which causes increase in wage level without increasing unemployment!

- 11 The wage rate of a worker is reduced.

Which combination of characteristics of the job is most likely to cause the worker to stay in the job?

	additional bonuses	job security	unsocial hours
A	high ✓	high ✓	many
☒ B	high ✓	high ✓	none ✓
C	low	low	many
D	low	low	none ✓

* Even after having low wage a worker stays in that same job :-

- Additional bonus ↑
- Job security ↑
- Unsocial hours ↓ or None

- 12 What characteristics are found in a monopoly?

- No!
 A freedom of entry to the market and a single seller
No!
 B freedom of entry to the market and many sellers
☒ C many buyers and a single seller
 D many buyers and many sellers

→ One of the largest firm, consumer lack choices, no close substitute!

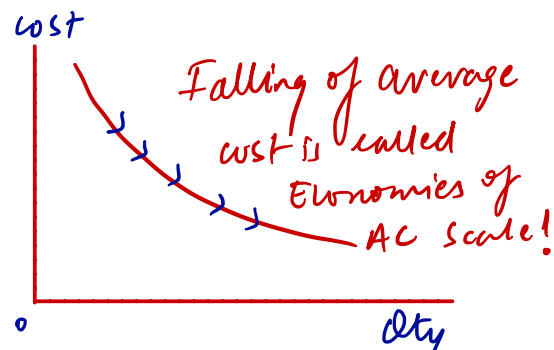
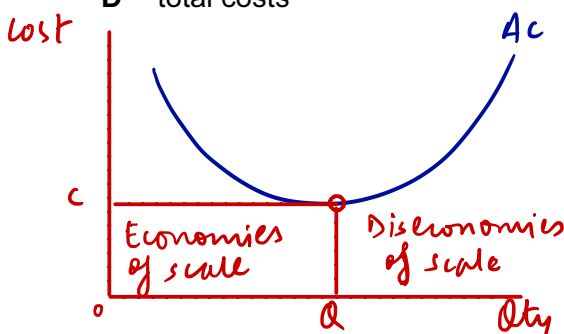
- 13 What must be falling if a firm is experiencing economies of scale?

- ☒ A average costs
 B external costs
 C fixed costs
 D total costs



per unit cost
or
average cost
reduces

⇒ Economies of scale is advantages of operating on a larger scale



- 14 A company supplying water spent \$470 million creating a network of pipes to distribute water more efficiently. It employed local workers and boosted the local economy. It also provided better facilities for the tourist industry.

What cannot be concluded from the above?

- ☒ A The company increased its profits. [For profits you require TR and TC]
☐ B There was a decrease in regional unemployment. (Yes it will)
☐ C There were fixed costs of \$470 million. (Yes it is)
☐ D There were positive externalities. (Yes jobs were created)

- 15 The table shows the information that managers of a company have from a week of business activity.

number of employees	100	Variable
average wage	\$900	Variable
value of output	\$100 000	Variable
rent	\$10 000	Fixed cost*
raw materials	\$20 000	Variable cost

Assuming there are no other costs, what is the value of the fixed costs?

- A \$300 ☒ B \$10 000 C \$20 000 D \$30 000

- 16 What is most likely to be the responsibility of a government?

- ☐ A the building of a food processing plant (private sector)
☐ B the building of a housing estate (private sector)
☐ C the building of a large shopping centre (private sector)
☒ D the building of a major rail link [Public sector]

- 17 Which statement about the meaning of government economic aims is correct?

- ☒ A Economic growth means that a country's real output must rise over time. (Shift in PPC)
☐ B Full employment means that no one must be unemployed. (Always NAIRU)
☐ C Price stability means that the price of all goods and services must remain unchanged. [It means less fluctuations]
☐ D Redistribution of income means that everyone must have equal incomes. No! Gap between Rich and poor reduces

Also, resources are employed efficiently!

- 18 A government wishes to close the gap between the earnings of the rich and the poor.

What should it do to achieve this aim?

- ☒ A increase progressive taxation *Direct tax, income tax, impact on Rich, Income ↑, Tax rate ↑*
 B increase the rate of interest *R ↑, save ↑, AD ↓, Real income ↓*
 C increase the rate of sales tax *(Burden on poor) (Regressive tax should be reduced)*
 D increase the supply of money *R ↓, spend ↑, AD ↑, inflation*

- 19 A government decided to increase its spending on building schools and hospitals.

Which aim of government policy is most likely to be achieved by this increase?

- A a balance of payments surplus *(Relation with payments made and received)*
 B a stronger exchange rate *(Relation with payments made and received)*
☒ C economic growth *G ↑, AD ↑, output ↑, economic growth achieved*
 D price stability *G ↑, AD ↑, prices ↑, Price instability*

- 20 The forecast for Germany's GDP growth in 2013 was 1.5%.

What might cause economic growth?

- A an increase in imports *M ↑, payments made, AD ↓, output ↓*
 B an increase in interest rates *R ↑, save ↑, spend ↓, C ↓, AD ↓, output ↓*
☒ C an increase in productivity *output ↑*
 D an increase in unemployment *Unemployment ↑, output ↓*

- 21 The proportion of workers employed varies between different industries and between developing and developed economies.

Which combination in the table is likely to have the highest percentage of workers employed?

	developing	developed
☒ A	agriculture	manufacturing
B	agriculture	services
C	construction	manufacturing
D	construction	services

* Developing economies are most likely to be dependent on agricultural sector thus major proportion of people will be employed in this sector!

* Developed economies are most likely to be dependent on service sector and contributes to GDP by greater percentage from service sector, thus major proportion of people will be employed in this sector!

- 22 In 2009, a country had an inflation rate of 2%. The table shows the inflation rate in the following years.

year	inflation rate (%)
2010	2
2011	1
2012	0
2013	-1

Deflation $\Rightarrow$ Percentage change in price goes to negative

Deflation is the persistent and sustained "fall" in general price level over a given period of time.

In which year did deflation start?

- A 2010 B 2011 C 2012 ☒ D 2013

- 23 Which item does the Human Development Index (HDI) of a country include, in addition to real GDP per head and life expectancy at birth?

A expenditure on law and order

☒ B literacy rate among adults

C number of doctors

D retirement age

HDI

* Real GDP per head

* Life expectancy (longevity)

* Education enrollment (literacy rate)

- 24 Why might real GDP per head not be a good indicator of the standard of living in developing countries?

A It does not account for inflation.

B It does not account for population changes.

C It does not include primary production.

☒ D It does not include unpaid work on farms.

- 25 The richest 60% of the population in a developed economy received an increase in income.

Which row is correct as a result of this increase?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
☒ C	remained constant	increased
D	remained constant	remained constant

* Absolute poverty is the condition where people do not have enough income to meet basic needs, such as access to services and sanitation facilities. When it was first established by the World Bank in 1990, the absolute poverty line was measured to be living on less than \$1 per day

Relative poverty refers to a standard which is defined in terms of the society in which an individual and which therefore differs between countries and over time.

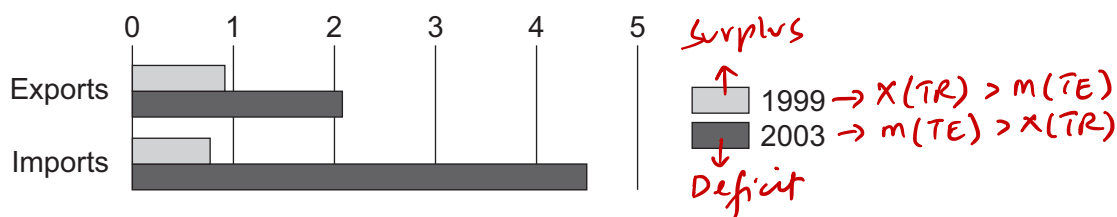
- 26 According to the United Nations, the share of world population living in developing countries will increase from 83% in 2003 to 88% in 2050.

What is likely to be the major cause of this predicted change?

- A Climate change will lead to lower food output and starvation. [population ↓]
 B Improved education for girls will lead to a small decline in birth rates. [population ↓]
 C Increasing numbers of people will migrate to developed countries. [population ↓]
 ✓ D Modern medicine and sanitation will lead to a rapid decline in death rates.

Better health facilities → life expectancy ↑

- 27 The diagram shows China's trade with Brazil for 1999 and 2003 in billions of dollars.



With reference to the diagram, what happened to China's trade balance with Brazil between 1999 and 2003?

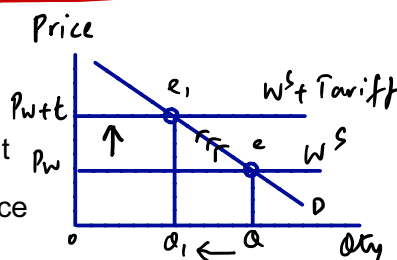
- A It experienced a falling surplus.
 B It experienced a rising deficit.
 C It moved from deficit to surplus.
 ✓ D It moved from surplus to deficit.

* Tariff is a tax which is imposed on goods and services, which increases price of imported goods

- 28 A country imposes tariffs and quotas on imported goods.

What will citizens of that country experience?

- ✓ A higher prices
 B higher welfare
 C higher unemployment
 D wider consumer choice



* Quota is a physical limit on the quantity of goods imported. Restricted quantity will be sold at a higher price

- 29 What is most likely to encourage international specialisation? ⇒ Free trade

- A similarities in climate in different countries
 ✓ B the ability to produce products more cheaply than other countries
 C the discovery of oil in a country that had no oil before
 D very high international transport costs (Discourages)

[Comparative advantage]
 ↓
 Lower opportunity cost
 ↓
 Less wastage

- 30 Turkey's ⁶ agricultural sector ⁷ employs 48% of the country's workforce, compared with 17% in the United States (US) and 3.9% in France.

What could be concluded from this?

- A France is likely to import more agricultural produce than the US.
- B The workers in France are not as productive as those in Turkey.
- C Total agricultural production is likely to be higher in Turkey than in the US.
- ☒ D Turkey is likely to be less developed than France.

* Developed economy output is mainly received through agricultural / primary sector and major workforce is employed under that sector

* Developed economy output is mainly received through service or tertiary sector and major workforce is employed under that sector.

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